

IN CUSTODY
Suspended chief engineer Virendra Ram

over a month between December 22, 2022, and January 23, 2023. Another Rs 9.3 crore was found to have been transferred to the bank account of Ram's wife Rajkumari Devi. Moreover, a daily expenditure record of the family showed an outgo of Rs 49.13 lakh in just about two months, from May 20 to July 28, 2022—more than three years of salary credited to Ram's account.

The investigators have zeroed in on the bank accounts of firms such as RK Investment and Consultancy owned by Rakesh Kedia, and RP Investment and Consultancy, owned by Reena Pal, besides individuals Neha Shreshtha and Manish. These accounts were used to transfer funds to Ram's father and wife. While Kedia is the CA's relative, Reena is the wife of the CA's employee Vijay Pal. Shreshtha is an employee whereas Manish is the son of the CA's driver. Early last month, the ED informed the Delhi Police commissioner that the four admitted that the CA opened and operated their accounts, following which the Economic Offences Wing of the police registered a separate case.

CATCHING THE BIGGER FISH

The ED probe has revealed that these bank accounts received funds from three proprietorship firms, Khatushyam Traders, Anil Kumar Govind Ram Traders and Om Traders. These firms

WHAT IS MONEY LAUNDERING?

Money-laundering involves injecting illegally generated money into the formal/legitimate system. It involves layering of the money and spreading it over various transactions using book-keeping tricks to hide the source. The money is then routed back to the offender who uses it as legitimate money

HOW RAM LAUNDERED MONEY

The ED recorded the statement of suspended chief engineer Virendra Ram under the Prevention of Money Laundering Act wherein he confessed to having received 0.3-1 per cent of the tender awarded to companies. Here's how he laundered the ill-gotten money:

- In 2022, Ram approached a Delhi-based CA who allegedly agreed to layer his money for a commission of 2.5 per cent
- Ram started sending cash in tranches of Rs 25 lakh to Rs 50 lakh to the CA through hawala
- An entry operator then transferred the money to the bank accounts of three persons closely associated with the CA
- The CA allegedly got a rent agreement scripted with Ram's father Genda Ram to open an account in a Delhi-based bank by using a local address
- Genda Ram's income tax return was filed for 2021-22 where Rs 8.70 crore was shown as receivable
- It was done just to justify the future credits which were to be made in Genda Ram's bank account